IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT – 1

ITEM No. 201 - **C.A.(CAA)/21(AHM)2023**

Order under Sections 230-232 of the Companies Act, 2013

IN THE MATTER OF:

Chandarana Shares & Securities Pvt. Ltd. **.....Applicants**
Marwadi Chandarana Intermediaries Brokers Pvt. Ltd.

Order delivered on: 11/07/2023

Coram:

Mr.Shammi Khan, Hon'ble Member(J)
Mr.Kaushalendra Kumar Singh, Hon'ble Member(T)

PRESENT:

For the Applicant : Mr. Ravi Pahwa, Advocate i/b Thakkar & Pahwa

ORDER

The case is fixed for pronouncement of the order. The order is pronounced in the open court, vide separate sheet.

-Sd- -Sd-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

SHAMMI KHAN
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT-1

CA (CAA) No.21/NCLT/AHM/230-232/2023

[Sections 230-232 and read with other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016]

Scheme of Arrangement involving Merger

of

Chandarana Shares and Securities Private Limited
(Applicant Company No.1/ Transferor Company)

with
Marwadi Chandarana Intermediaries Brokers Private Limited
(Applicant Company No.2/Transferee Company)

and

Their Respective Shareholders and Creditors

Memo of Parties

M/s. Chandarana Shares and Securities Private Limited

[CIN: U67120GJ2004PTC071732]
A Private Limited Company incorporated under the provisions of the Companies Act], 1956, having its registered office at Chandarana House, Dr. Radhakrishnan Road, Near Kathiawad Gymkhana, Rajkot – 360 001 ..... Transferor Company

With

M/s. Marwadi Chandarana Intermediaries Brokers Private Limited

[CIN: U67120GJ2018PTC103598]

A Company incorporated under the provisions of the Companies Act, 2013, having its registered office at X-Change Plaza, Office No. 1201 to 1205, 12th Floor, Building No. 53E, Zone 5, Road 5E, Gift City, Gandhinagar – 382 355

…. Transferee Company

Order pronounced on 11/07/2023

Coram: Mr. Shammi Khan, Hon'ble Member (Judicial)
Mr. Kaushalendra Kumar Singh, Hon'ble Member (Technical)

Appearance:

Mr. Ravi Pahwa, Advocate for the Applicant Companies.

O R DE R

1. The present joint Company Application is filed under Sections 230-232 with other applicable provisions of the Companies Act, 2013 (the "Act") read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 for sanctioning the Scheme of Arrangement of M/s. Chandarana Shares and Securities Private Limited (Transferor Company) with M/s. Marwadi Chandarana Intermediaries Brokers Private Limited (Transferee Company) and their respective shareholders and creditors with effect from the Appointed Date i.e. 01.04.2022, as mentioned in the Scheme.

2. Affidavits in support of the Company Application have been sworn by Mrs. Khushboo Amish Chandarana on behalf of Transferor Company and Mr. Amish Jitendra Chandarana on behalf of Transferee Company. They are the authorised representatives/ directors of Applicant Companies. The aforesaid affidavits are annexed with the Application. The above named authorised representatives for the Applicant Companies have been authorised vide Board Resolutions dated 26.12.2022 and 02.01.2023 of the Applicant Companies.

3. The averments made by the Applicant Companies are summarised as under:-

i. The Board of Directors of Transferor Company vide Board Resolution dated 26.12.2022 have approved the Scheme of Amalgamation. The registered office of Transferor Company is situated in the State of Gujarat and is under the jurisdiction of the National Company Law Tribunal, Ahmedabad Bench.

The issued, subscribed and paid up share capital of the Transferor Company as on 31.03.2022 is Rs. 1,20,00,000/-. The Transferor Company has filed its Memorandum of Association and Articles of Association inter alia delineating their object clauses, along with its audited financial statement for the year ended 31.3.2022 and the provisional unaudited balance sheet as on 28.02.2023.

ii. The Board of Directors of Transferee Company vide Board Resolution dated 02.01.2023 have approved the Scheme of Amalgamation. The registered office of Transferee

Company is situated in the State of Gujarat and is under the jurisdiction of the National Company Law Tribunal, Ahmedabad Bench.

The issued, subscribed and paid up share capital of the Transferee Company as on 31.3.2022 is Rs. 25,00,00,000/-. Transferee Company has filed its Memorandum of Association and Articles of Association inter alia delineating their object clauses, along with its audited financial statement for the year ended 31.3.2022 and the provisional unaudited balance sheet as on 28.2.2023.

iii. The Applicant Companies have annexed accounting treatment specified in the Scheme of Amalgamation which are in conformity with the applicable accounting standards prescribed under Section 133 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and certificates issued by the statutory auditors of the respective Applicant Companies are filed and produced vide Annexure-M to the Company Application.

iv. No investigation or proceedings under the Companies Act, 1956 / Companies Act, 2013 have been instituted or are pending in relation to Applicant Companies.

v. There are no Foreign Shareholders or Foreign Shareholding in the Transferor Company. Further, considering the facts that it is an unlisted Company engaged in arbitrage trading, it is not governed or

regulated by the Reserve Bank of India (RBI), Securities and Exchange Board of India (SEBI), National Stock Exchange of India Limited (NSE), BSE Limited (BSE) and Multi Commodity Exchange of India Limited (MCX) or any other Sectorial Regulatory Authority. Accordingly, the RBI, SEBI, NSE, BSE, MCX or any other Regulatory Authority are not concerned with the Scheme proposed by the Applicant Companies;

vi. So far as the Transferee Company is concerned, it is the Trading Member of the National Stock Exchange of India Limited (NSE), BSE Limited (BSE) and Multi Commodity Exchange of India Limited (MCX). The Transferee Company has obtained in-principal approval of the said Exchanges for the proposed merger. Copy of the In-principal approvals received from the said Exchanges at 'Annexure-O' Colly to this application; Further, the Transferee Company being an unlisted Company, it is not governed or regulated by SEBI or any other Sectoral Regulatory.

vii. Further, considering the nature and business and also considering the shareholding pattern of the applicant companies, approval of the Reserve Bank of India, the Competition Commission of India, and Securities and Exchange Board of India will not be a necessary authority for the purpose of the present Scheme.

Copy of the Valuation Report dated 26.12.2012, issued by Mr. Pinakin Shah, Registered Valuer, is annexed with the Company Application as Annexure-N.

viii. The Transferor Company has 3 (three) equity shareholders and all the equity shareholders have given their consent in writing, in the form of affidavits, in approval of the Scheme of Amalgamation and for waiving their right to convene the meeting of the Equity Shareholders. The consent affidavits of the Equity Shareholders of Transferor Company are annexed at Annexure-G Colly to this application. CS Dharmendra Ganatra, Practicing Company Secretary, has issued the certificate dated 15.03.2023 certifying the number of equity shareholders of Transferor Company. The certificate for the same is produced at Annexure-H to the application. The Transferor Company, therefore, seeks dispensation of the meeting of Equity Shareholders.

ix. The Transferor Company does not have Secured Creditors and Unsecured Creditors as at 28.02.2023. Copy of certificate issued by M/s. Mandaliya & Associates, Statutory Auditors of Transferor Company dated 16.03.2023 certifying that the Transferor Company does not have Secured Creditors and Unsecured Creditors as at 31.03.2023 is produced at Annexure-K Colly to the application. It is further submitted that since there are no secured and unsecured creditors in the Transferor Company, the meeting of Secured Creditors and Unsecured Creditors of Transferor Company is not required to be held.

x. The Transferee Company has 5 (five) equity shareholders and all the Equity Shareholders have given their consent

in writing, in the form of affidavits, in approval of the Scheme of Amalgamation and for waiving their right to convene the meeting of the Equity Shareholders. The consent affidavits of the Equity Shareholders of Transferee Company are annexed at Annexure-I Colly to this application. CS Kalpesh Rachchh, Practicing Company Secretary, has issued the certificate dated 10.02.2023 certifying the number of equity shareholders of Transferee Company. The certificate for the same is produced at Annexure-J to the application. The Transferee Company, therefore, seeks dispensation of the meeting of Equity Shareholders.

xi. The Transferee Company has 4 (four) Secured Creditors and 3(three) Unsecured Creditors as at 28.02.2023. All the Secured Creditors and Unsecured Creditors of Transferee Company have given their consents in writing on affidavit in approval of the Scheme and for waiving their right to convene the meeting of secured creditors and unsecured creditors. The consent affidavits of the Secured Creditors and Unsecured Creditors of Transferee Company are annexed at Annexure-L Colly to this application. M/s. Mandaliya & Associates, Statutory Auditors of Transferee Company has issued the certificate dated 16.03.2023 certifying the number of secured creditors and unsecured creditors of Transferee Company. The certificate for the same is produced at Annexure-L Colly to the application. The Transferee Company therefore seeks dispensation of the meetings of its Secured Creditors and Unsecured Creditors.

xii. The proposed Scheme of Arrangement is annexed to the application as Annexure-F.

xiii. The rationale of the Scheme of Arrangement involving Merger stated in the proposed Scheme is as under:-

a. *The proposed merger would be in the interest of both the Companies to this Scheme and all its stakeholders such as shareholders, creditors and employees.*

b. *There will be centralized and focused management and supervision over the business affairs of the combined entity with specialized leadership vision, business expertise and management skill of the directors of the Transferee Company so as to accelerate growth in commodities and securities business of the combined entity.*

c. *There will be utilization of current assets and other resources of the Transferor Company by deploying the same in the combined entity paving the way for flexibility in transfer of funds between securities and commodities segment as and when required leading to optimal use of financial resources;*

d. *There will be enhancement in financial strength by pooling of resources and consequently obtaining credit facilities from banks on most competitive terms;*

e. There will be improvement in operational and administrative efficiencies, reduction of administrative and other overheads of a combined entity leading to economies of scale;

f. Greater combined value of merged entity by increasing operating margins and financial ratios due to enhanced financial strength, accelerate business growth and synergy benefits which will enhance value for all the stakeholders of both the Companies;

4. Head Learned Counsel for the Applicant Companies and perused the Company Application and the documents annexed therewith.

5. The present joint Company Application is allowed with the following order/ directions:-

i. The meetings of Equity Shareholders of the Applicant Companies are hereby dispensed with in view of the consent affidavits attached with the application;

ii. The meetings of Secured Creditors and Unsecured creditors of Transferor Company are not required to be convened as there are no Secured Creditors and Unsecured creditors in Transferor Company;

iii. The meetings of Secured Creditors and Unsecured Creditors of the Transferee Company are hereby dispensed with in view of the consent affidavits attached with the application.

iv. In compliance of subsection (5) of Section 230 and Rule 8 of the Companies (CAA) Rules, 2016, the Applicant Companies shall send a notice in Form No. CAA.3 along with copy of the Scheme of Amalgamation: to (i) the Central Government through the Regional Director, North Western Region; (ii) the Registrar of Companies; (iii) the Income Tax Authority concerned and (iv) the Official Liquidator (for Transferor Company) stating that the representations, if any, to be made by them shall be made within a period of 30 days from the date of receipt of such notice, failing which it shall be presumed that they have no objection to make on the Scheme. The aforesaid regulatory authorities, who desire to make representations, if any, under sub-section (5) of Section 230 shall send the same to the Tribunal within a period of 30 days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the Scheme.

6. This Company Application is disposed of accordingly.

-Sd- -Sd-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

SHAMMI KHAN
MEMBER (JUDICIAL)

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